

By Jason Douglas and Chelsey Dulaney

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Tankers and cargo ships in the Gulf of Oman. ASSOCIATED PRESS

Quick Summary

- The global economy avoided a severe shock despite the monthslong closure of the Strait of Hormuz, a critical energy conduit.

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Reopening the Strait of Hormuz as part of a peace deal between the U.S. and Iran would ease an energy crisis that has sapped economic growth and fueled inflation worldwide.

Still, one of the surprises of the monthslong closure of the Middle East's most critical energy conduit was that the global economy didn't suffer a more severe shock. The pain wasn't as swift or intense as it was following Russia's invasion of Ukraine in 2022 or the oil crises that rocked the world in the 1970s.

Here are five lessons about the global economy from the Hormuz crisis.

Many countries were well-prepared

Going into the Hormuz crisis, the world had plenty of oil. Major importers in Europe and Asia were well-stocked with strategic reserves, and commercial inventories were healthy after a run-up in 2025. That gave many big economies a cushion to ride out the shock with only limited disruption.

OECD commercial crude and fuel inventories



Source: LSEG

In the U.K., fuel sales fell in April as people avoided driving. Some European and American airlines have pruned flight schedules in response to higher jet-fuel prices. In Japan, a snack maker switched to black and white packaging for some products in response to oil-related ink shortages.

The burden of the supply crunch fell more squarely on poorer countries that can't afford reserves. Some, such as Bangladesh and Sri Lanka, took steps to curb demand for oil with fuel rationing. Others closed schools and offices and restricted the use of air conditioning.

Global oil demand is estimated to fall by around 5%, or roughly 5 million barrels a day, in the second quarter of the year, the International Energy Agency said on Wednesday. That is much smaller than the roughly 10% declines in oil demand experienced during the Iran-Iraq war that began in 1980, the 1973 Arab oil embargo and the Suez Crisis in 1956, according to

Société Générale, underscoring how oil shocks have gotten easier to manage.

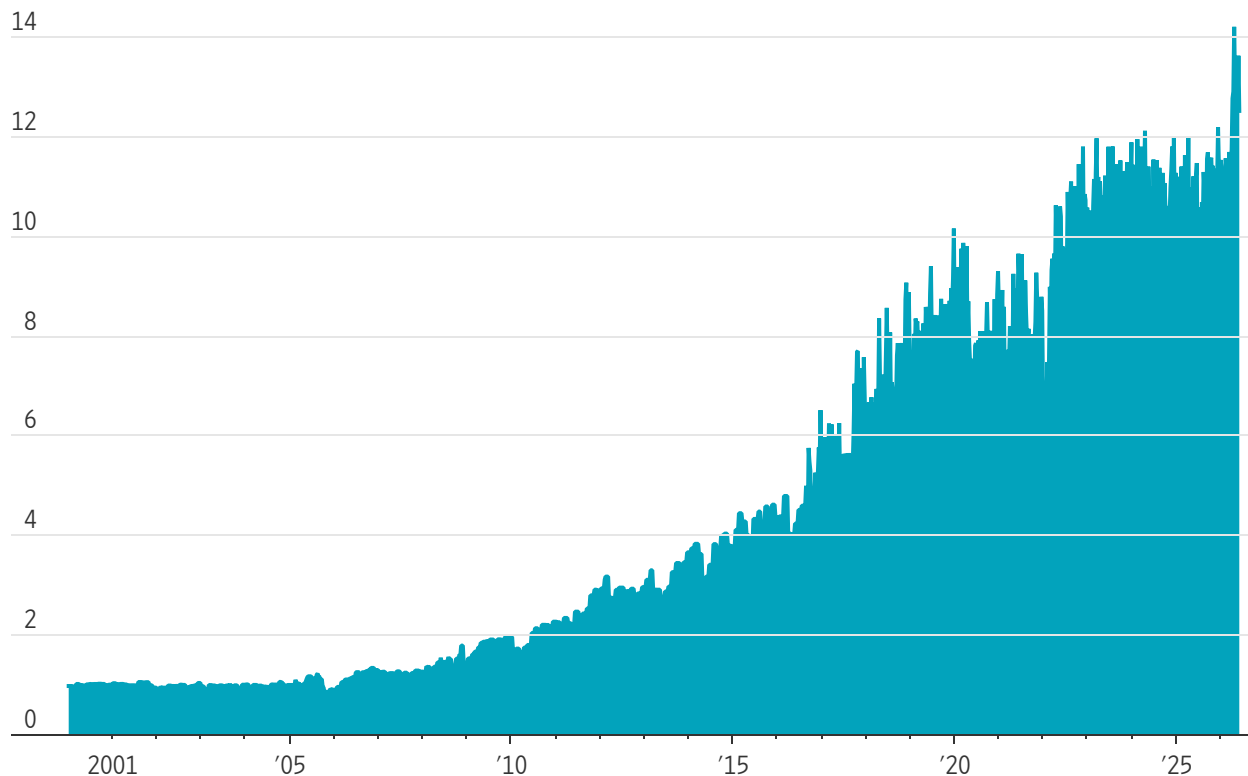
The global oil market is adaptable

Fears that the Hormuz crisis would propel oil to \$150 or even \$200 a barrel haven't been realized. Middle Eastern energy producers found ways around the closure of the strait faster than many energy experts predicted, while other producers—including the U.S.—stepped up production and exports to plug some of the gap.

Exports from Saudi Arabia's Red Sea port of Yanbu have jumped to around four million barrels a day from less than one million before the war, according to commodities and shipping data provider Kpler. The United Arab Emirates has also turned to pipeline exports, sending crude from Abu Dhabi to the port of Fujairah on the Gulf of Oman.

U.S. oil and petroleum products exports

16 million barrels a day

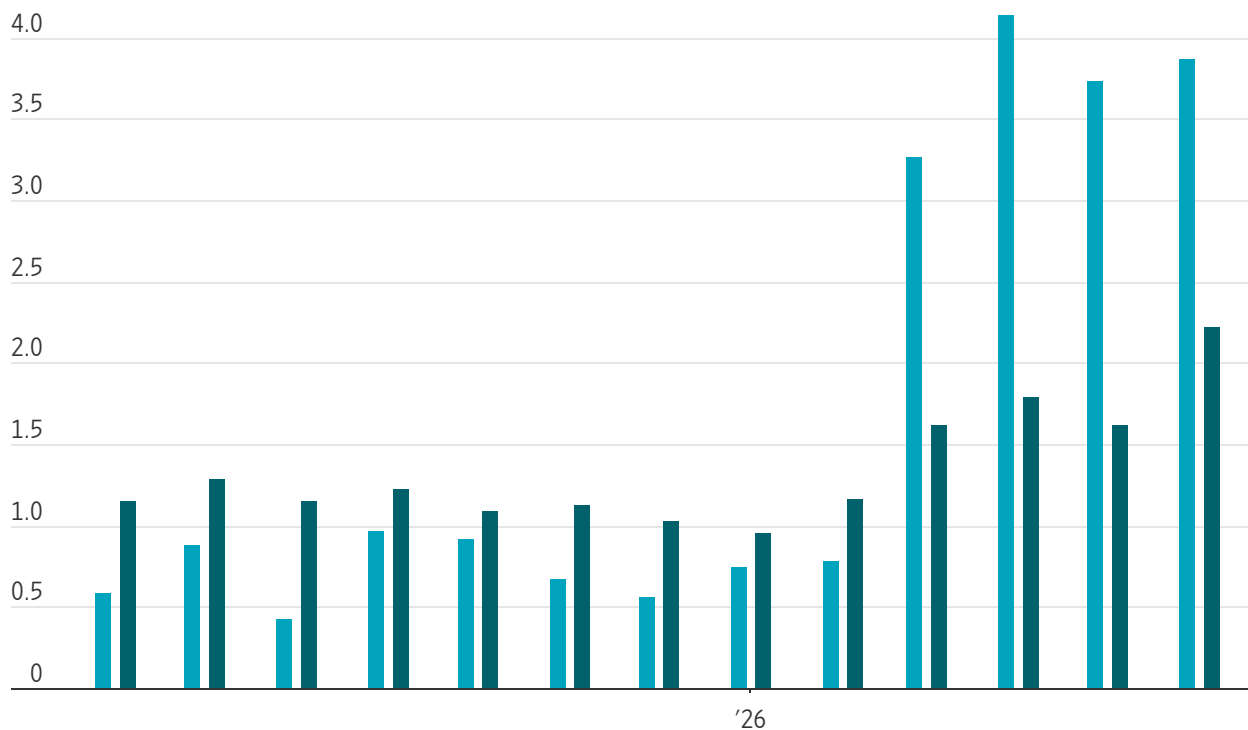


Source: U.S. Energy Information Administration

Crude exports via alternate routes

■ Yanbu (Saudi Arabia) ■ Fujairah (UAE)

4.5 million barrels per day



Source: Kpler

U.S. oil exports, meantime, soared to new records. Venezuela's oil exports have risen 43% in the past three months compared with a year earlier, while Brazil's exports have jumped by a third, according to Kpler.

China can throttle oil imports

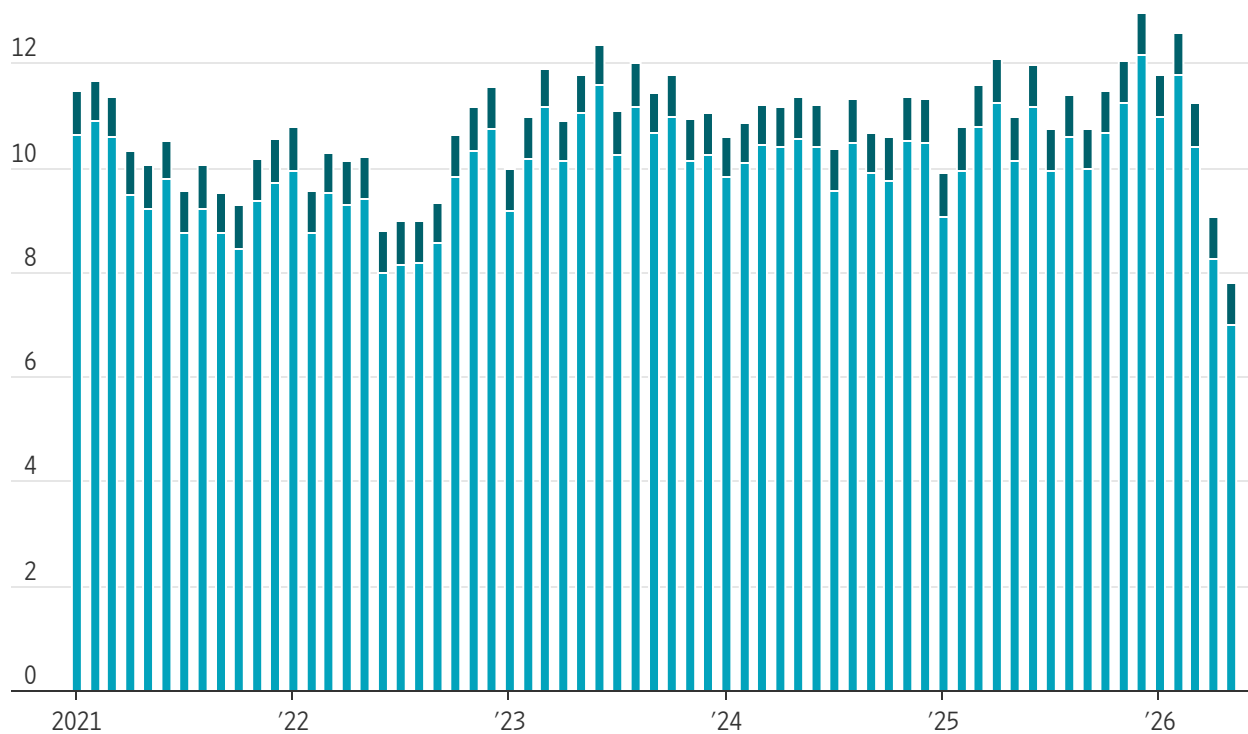
Chinese imports of oil fell by around three million barrels a day, yet there was little visible sign of disruption in the world's second-largest economy and foremost manufacturing powerhouse.

In common with other big importers, Beijing drew from its vast strategic reserves and found other suppliers to cushion the losses from the strait. Refineries cut back production to conserve crude supplies.

China's monthly oil imports

■ Seaborne ■ Russian pipeline

14 million barrels a day



Source: Vortexa

But China, mindful of its dependence on foreign energy, has also reoriented its economy to use less imported oil: Electricity generation is increasingly powered by coal and renewables, and Chinese drivers have been enthusiastic adopters of electric vehicles, reducing demand for gasoline.

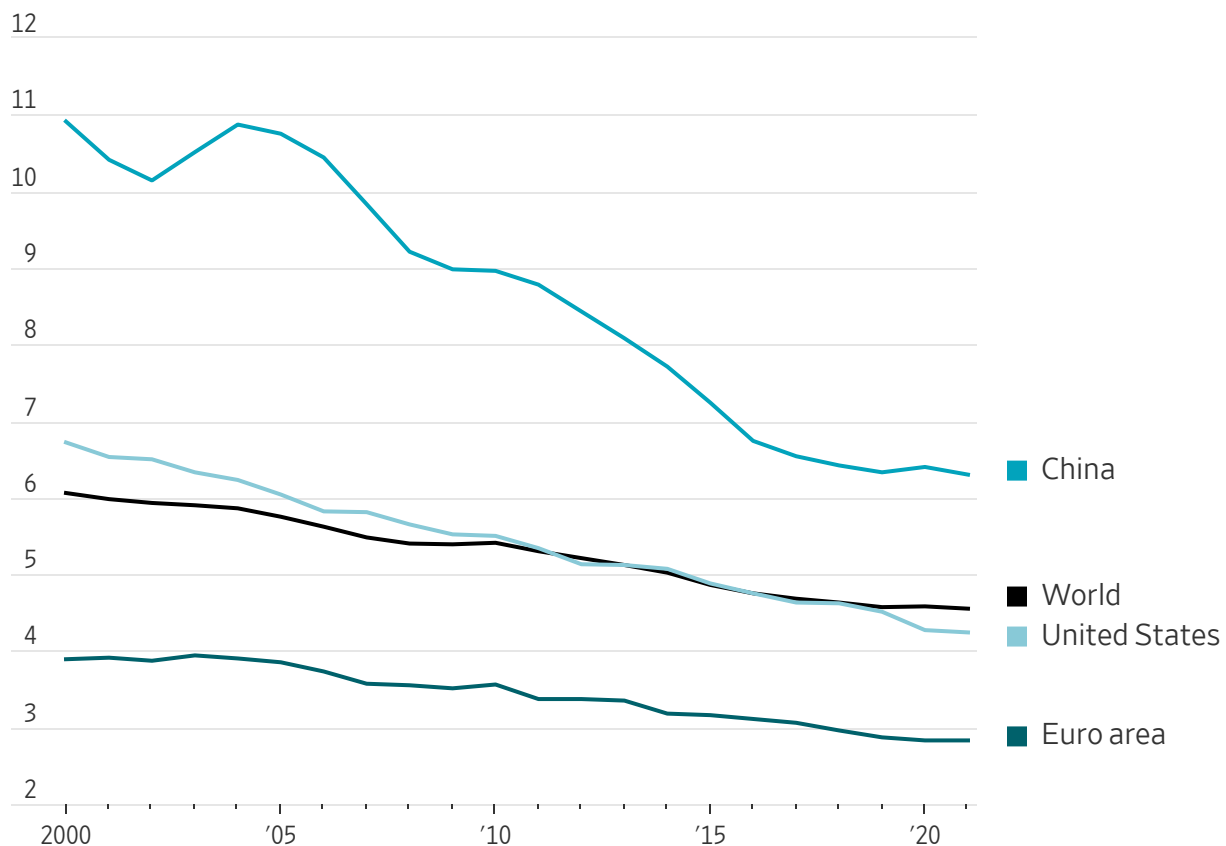
The crisis wasn't costless for China—producer prices lurched higher and retail spending dived in May—but its resilience and that of other Asian economies heavily exposed to the closure of the strait helped keep the global economy humming.

The world is using energy more efficiently

International Monetary Fund Managing Director Kristalina Georgieva said in April that improvements in energy efficiency were helping to mitigate the shock from the Iran war.

One way to gauge how effectively economies are using energy is to calculate the amount of energy burned to generate a dollar of gross domestic product. Adjusted for inflation, energy intensity has fallen by about a third since 2000 in the U.S. and Europe and by about 40% in China, according to World Bank data, a shift that helps economies weather supply disruptions.

Energy intensity



Note: Ratio of energy supply in megajoules to GDP (2021 dollars at purchasing power parity)

Source: World Bank

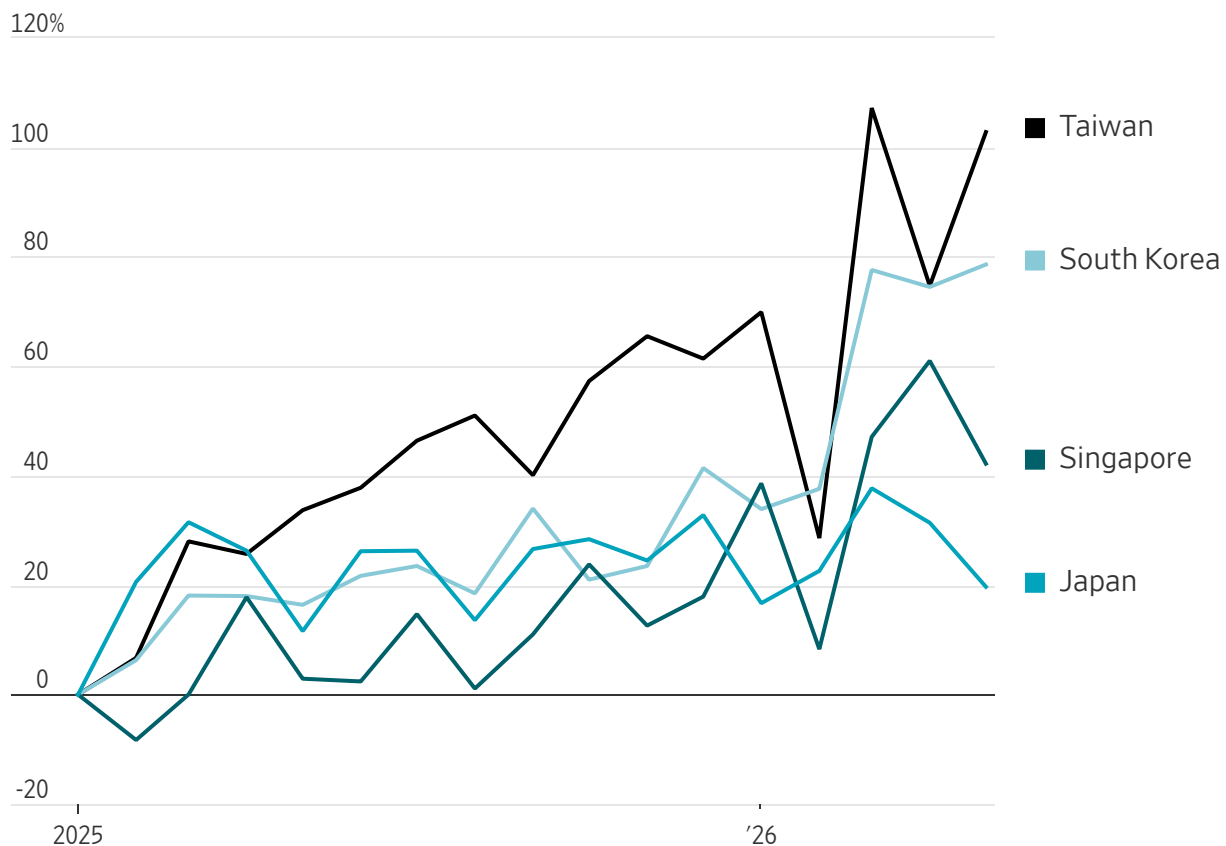
Advanced economies have shifted to less energy-intensive services such as finance and healthcare from more energy-hungry manufacturing. Renewables have played a role, as energy sources such as solar and wind lose less energy to heat than burning fossil fuels. Consumer appliances have been re-engineered to use less electricity and firms have squeezed out improvements in industrial processes to save energy, a lesson Europe in particular took to heart after the Russian invasion of Ukraine in 2022.

The AI boom offset the energy drag

The artificial-intelligence boom has been a major counterweight to the energy crisis. The rapid build-out of data centers in the U.S. and the excitement around the technology's potential have lifted trade and investment and pushed stock markets to record highs.

The benefits have been most keenly felt in Asian economies that provide the memory chips, machinery and electronics needed to power the AI boom. The value of Taiwan's exports has more than doubled since the beginning of 2025. South Korea's exports are up almost 80%, Singapore's are up 40% and Japan's are up by almost 20%. This technological gold rush has propelled economic momentum in key parts of the global economy even as the oil squeeze hurt others.

Exports, change since Jan 2025



Note: Exports measured in U.S. dollars
Source: CEIC

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